



# Market Briefs **Pro**

*Read less news*

**Hey, Pro Briefers!**

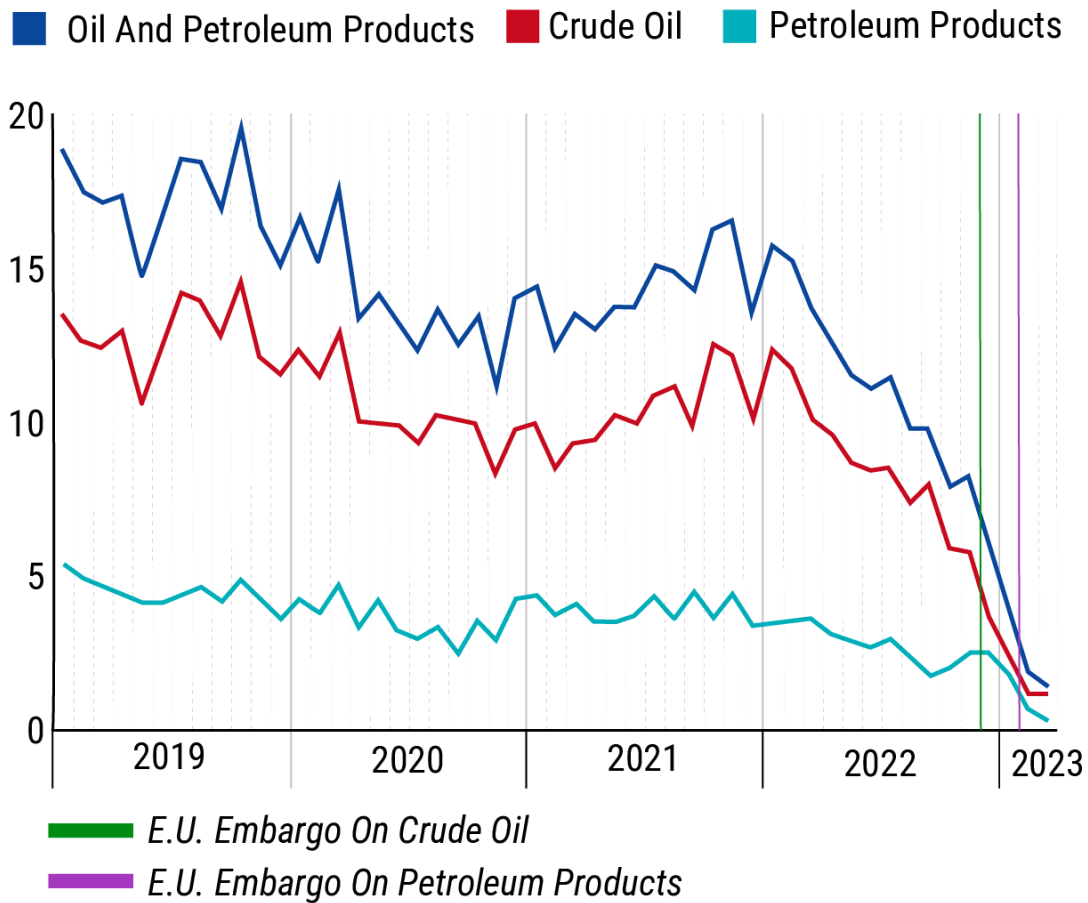
This week, we've identified a Broad Market Shift: Economic instability in Europe has caused the government to stimulate banks, and has undervalued major assets.

Let's break down how this creates a unique investing opportunity.

It's been nearly 3 years since the Russia-Ukraine conflict began, and since then we've seen countries across the region impose strict trade sanctions on Russia.

**What does that mean?** European countries aren't trading with Russia, and the biggest effect has been on oil.

# E.U. Imports Of Crude Oil, Petroleum Products, And Oil And Petroleum Products From Russia (In Million Tonnes)



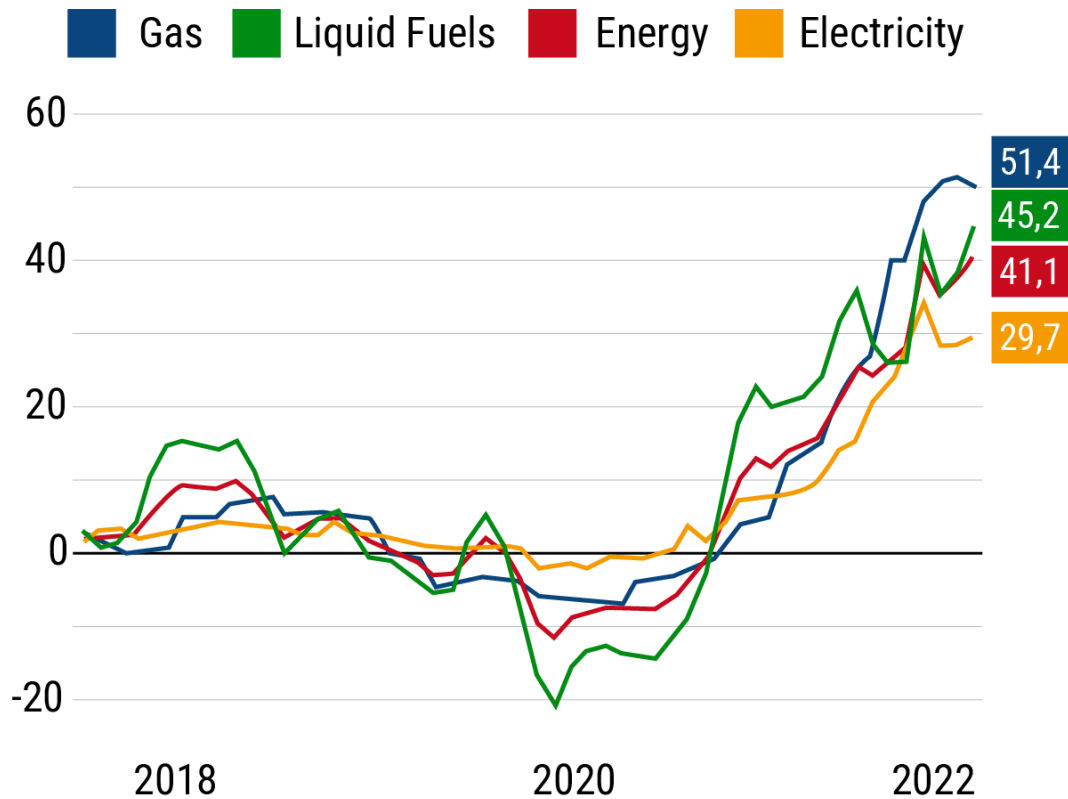
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Data via European Union

Europe has cut its consumption of Russian oil by 90% since the conflict began, or about \$150 million a day in trade.

# Energy Prices Keep Climbing In The E.U.

*Monthly Rate Of Inflation In Terms Of Electricity, Gas, Liquid Fuels, And Energy As A Whole In The E.U. (In %)*



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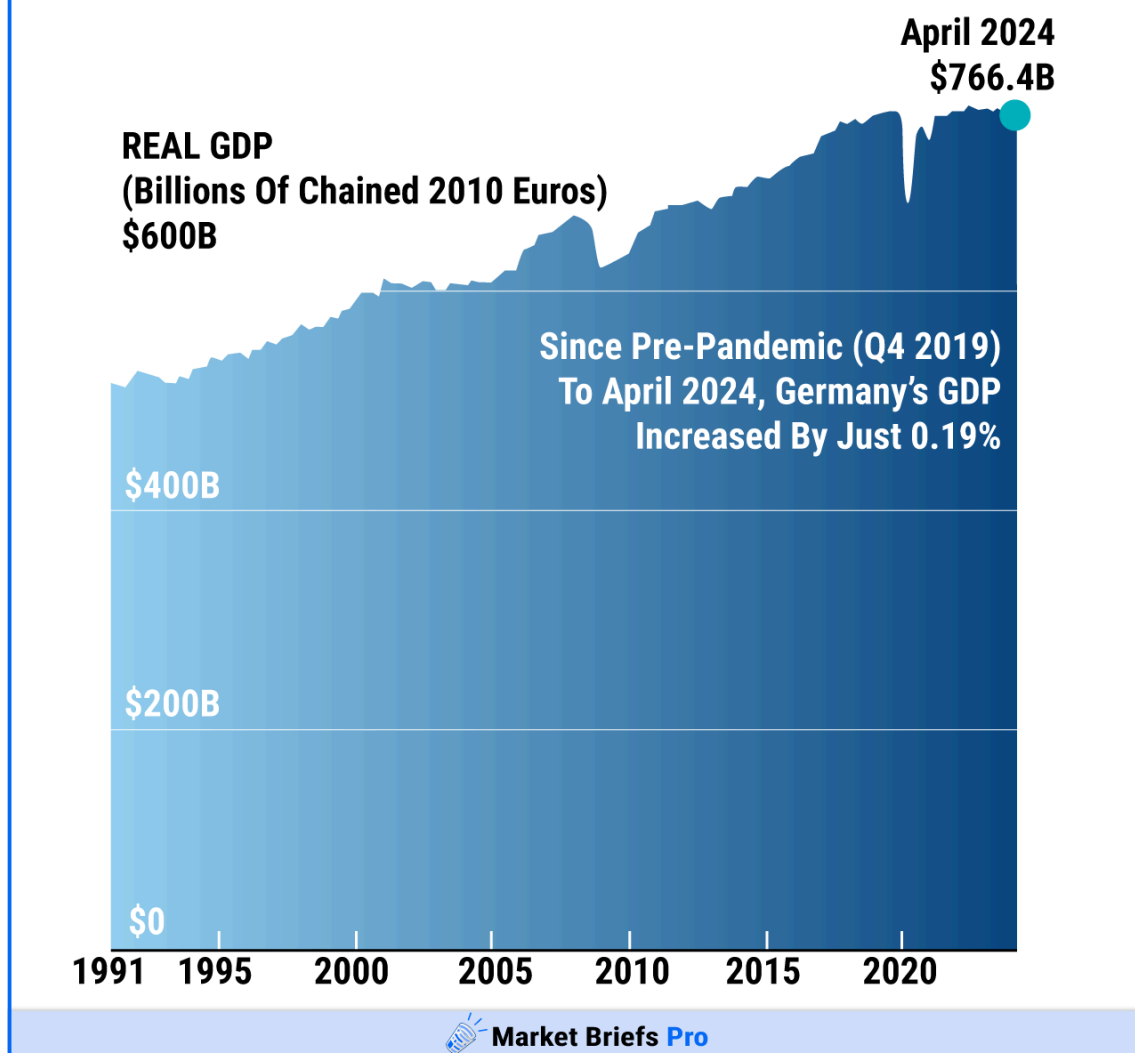
Data via Statista

Reduced access to oil has made energy more expensive in the region, and as a result major European nations are seeing an economic downturn.

- Germany's economy has seen multiple years of negative growth.
- France's deficit is at a record 6% of its GDP.

With E.U. economies tied so closely together, all of Europe struggles when these larger economies struggle.

# Germany's Stalling GDP Growth



Data [via](#) St. Louis FRED

- Germany is the largest and often considered the strongest economy in the E.U.

Through aggressive investment from the European Central Bank, and finding new supplies of oil, the European economy could rebound.

While European markets are down, they are historically strong, presenting an opportunity to invest in solid assets at a lower price, and creating a Broad Market Shift.

This week, we're going to show you some of Europe's historically strongest performers, and how investors interact with them through the U.S. markets.

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## **BRIEF BREAKDOWN**

### **European Banks**

Economic instability often provides many challenges for banks, like high defaults and lower demand for loans.

In previous economic downturns, European banks have been hit hard.

- During the 2008 global financial crisis, banks including Deutsche Bank and UBS required government bailouts and recovered slower than American banks.

This time around, European banks have learned from previous struggles and are far outperforming the largest American banks despite struggling economies.

#### **U.S.:**

- JPMorgan Chase is up 87% in five years.
- Bank of America is up 33% in five years.

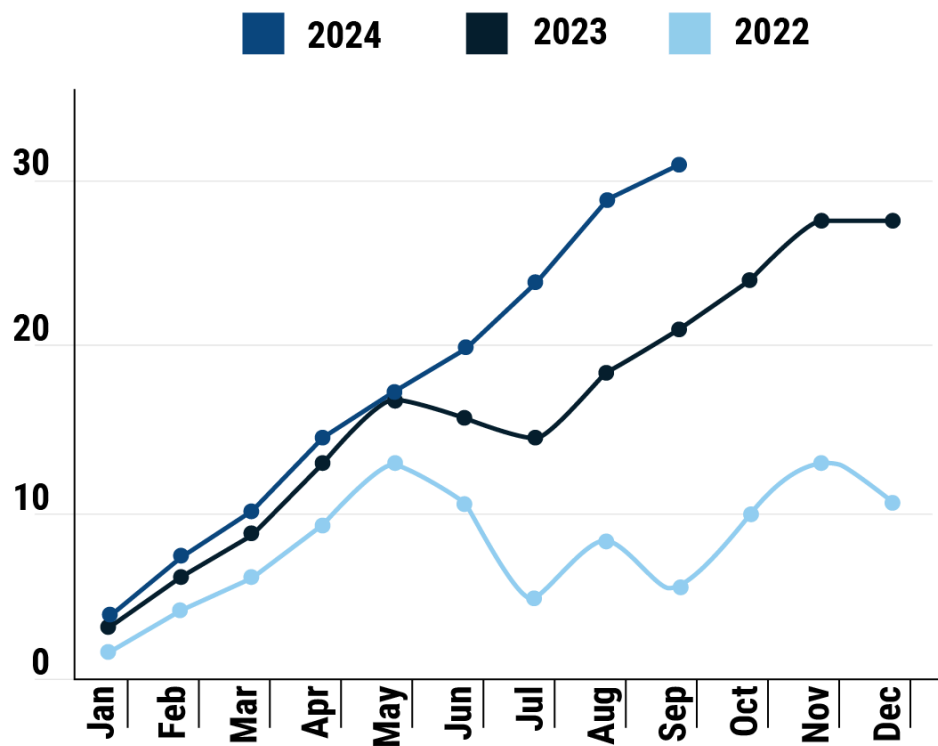
#### **Europe:**

-  Deutsche Bank is up 122% in five years.
-  UBS is up 158% in five years.

In addition to the Eurozone, Polish banks are doing so well that PwC is calling it “the golden times.”

# Polish Net Banking Sector Profits (2022-2024)

Financial Data Of The Banking Sector In Billions Of Zlotys (Net)



*Significant Change In Value In July 2022 Is Due To The Inclusion Of The Effects Of Credit Holidays In The Financial Books Of Banks.*

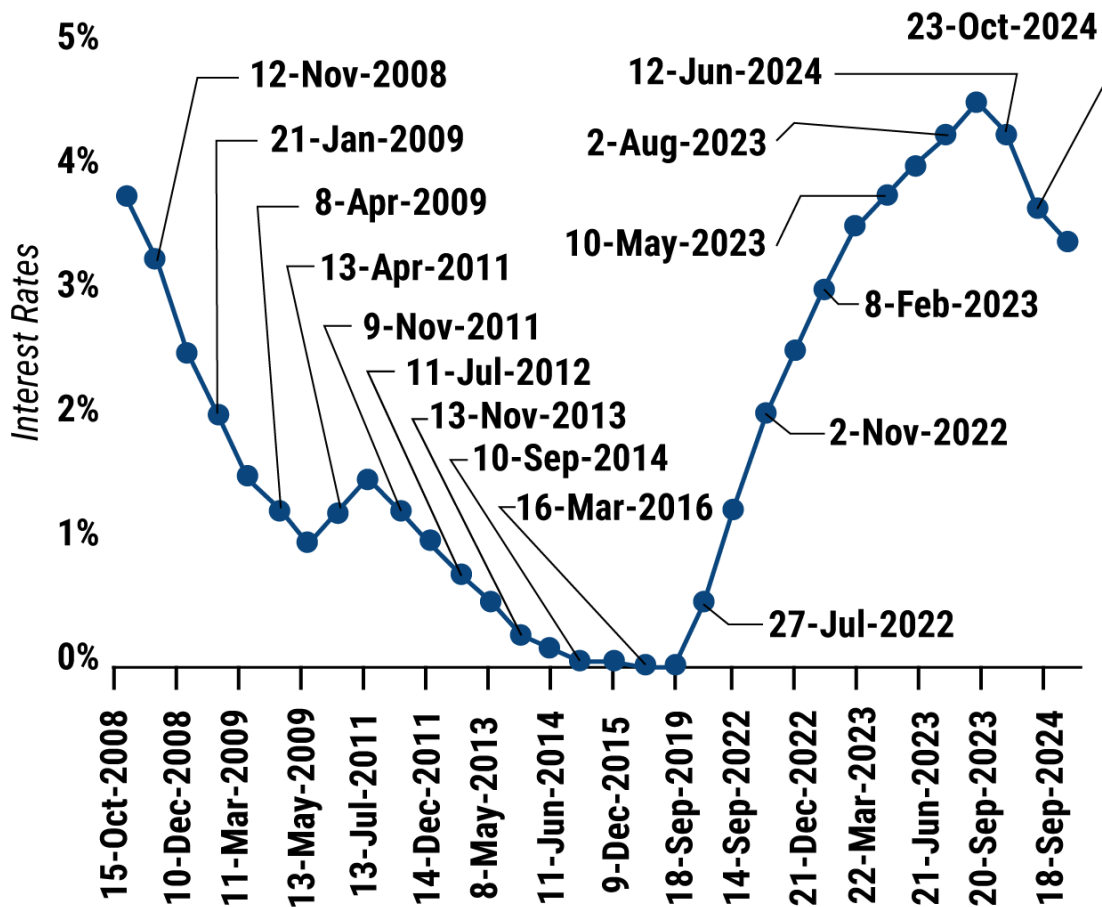
 **Market Briefs Pro**

Data [via](#) tvn24

- Polish banks are on track to break \$43 billion in income for the second straight year, up from around \$28 billion in 2022.

**What's the cause?** Stimulus from the European Central Bank (ECB).

# Fluctuation Of The European Central Bank Fixed Interest Rate From 2008 To 2024



Market Briefs Pro

Data via ECB

- The ECB cut interest rates four times in 2024 as well as introduced new Targeted Longer-Term Refinancing Options (TLTRO III).

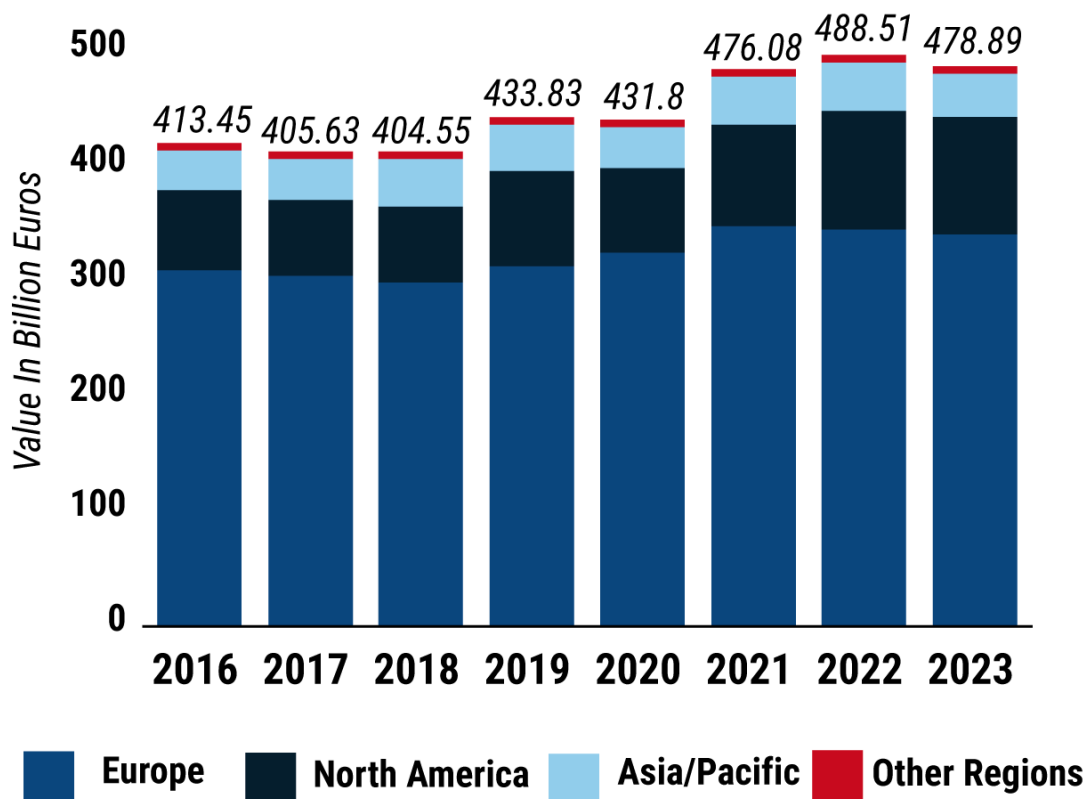
The TLTRO provides better rates to banks that give out more loans.

This provided European banks with liquidity and low interest, allowing them to both make investments and build cash reserves.

Deutsche Bank (DB) has used these new policies to restructure its business and invest in high-growth sectors.

DB has pledged 500 billion euros towards high-growth sustainability projects and has launched its own blockchain.

## The Value Of Loans By Deutsche Bank At Amortized Cost From 2016 To 2023 By Region (In €Billion Euros)



 Market Briefs Pro

Data via Statista

And while the German bank has cut much of its global presence, it has **increased** its presence in strategic locations, such as the U.S. and Asia.

Despite Germany entering a technical recession, DB has reported its highest annual net profits in over a decade.

- A technical recession is defined as two or more quarters of negative economic growth.



# Deutsche Bank Aktiengesellschaft (DB)

5 Year Price →

**19.03**  
**(+122.83%)**



 **Market Briefs Pro**

Data [via](#) Yahoo! Finance

DB is traded in the U.S. on the NYSE, and is currently up over 48% over the past year.

Enabled by the ECB, Deutsche Bank has built a strong foundation that should enable it to keep growing, potentially even more so if the region stabilizes.

But it's not just policies from the Central Bank that have led major banks to success.

Switzerland's UBS has found success in wealth management during the turmoil.

# Swiss Private Banks By AUM As Of 2024

| Rank                                                                                                         | Bank                                                                                                       | AUM*  | AUM Change | Net New Money**         | FTE     | Return On AUM | Cost/Inc Ratio |
|--------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------|-------|------------|-------------------------|---------|---------------|----------------|
| 1                                                                                                            |  <b>UBS</b>               | 5253  | 45.2%      | 80,000                  | 138,462 | 1.52%         | 57.5%          |
| 2                                                                                                            |  <b>PICTET</b>            | 633.3 | 4.2%       | 21,200                  | 5,439   | 0.51%         | 76.7%          |
| 3                                                                                                            | <b>Julius Bär</b>                                                                                          | 410.6 | 0.6%       | 12,457                  | 7,425   | 0.79%         | 84.1%          |
| 4                                                                                                            | <b>Vontobel</b>                                                                                            | 200.1 | 0.8%       | -3,500                  | 2,275   | 0.65%         | 79.9%          |
| 5                                                                                                            |  <b>J. Safra Sarasin</b> | 188.9 | 2.9%       | 7,352                   | 2,503   | 0.93%         | 50.9%          |
| *CHF In \$USD Billions                                                                                       |                                                                                                            |       |            | **CHF In \$USD Millions |         |               |                |
|  <b>Market Briefs Pro</b> |                                                                                                            |       |            |                         |         |               |                |

Data [via](#) Zurich University of Applied Sciences

As soon as the Russia-Ukraine conflict began, we started to see what economists call a “flight to safety.”

**Definition:** This is when uncertainty causes economic fear among investors, so they move their money into what they believe are “safe” institutions.

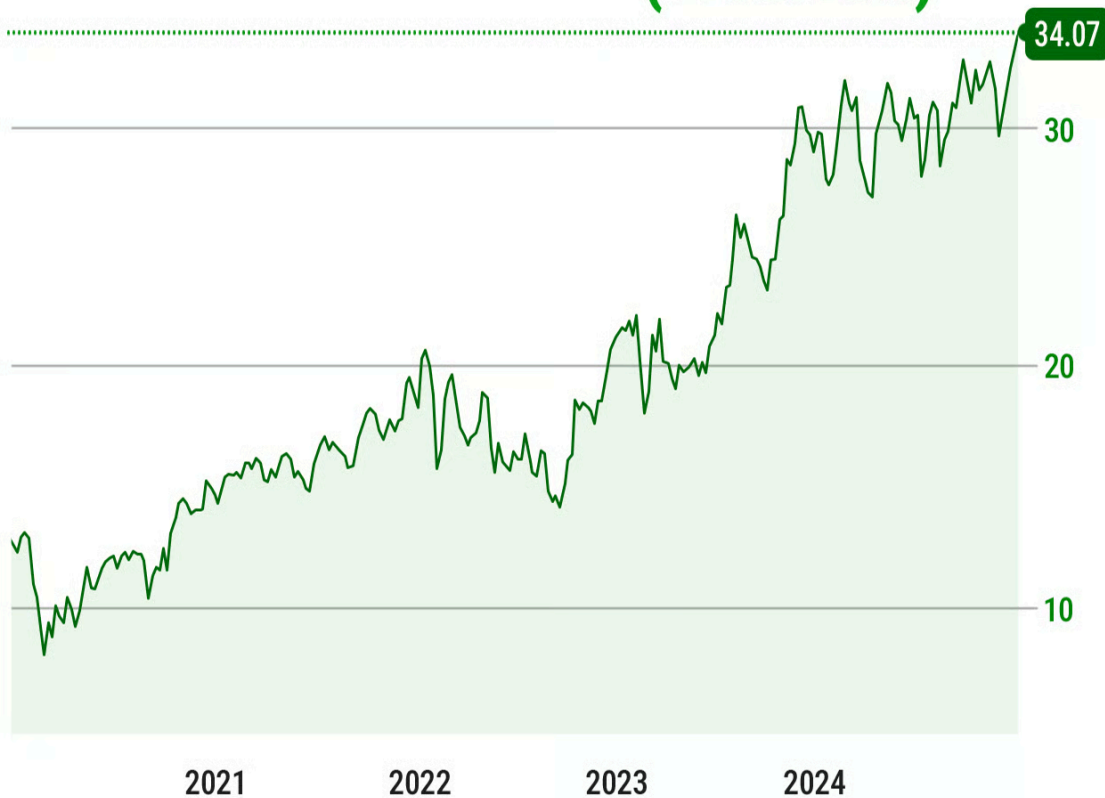
In 2023, UBS acquired its rival Credit Suisse - this positioned it as not only the largest wealth management bank, but the third largest asset manager in the world.

- UBS manages over \$5.7 trillion, only behind U.S. private equity firms BlackRock and Vanguard.

# UBS Group AG (UBS)

5 Year Price →

**34.07**  
**(+158.18%)**



 **Market Briefs Pro**

Data [via](#) Yahoo! Finance

As UBS's share of the wealth management industry have increased, so has the bank's share price, rising 158% over the last five years.

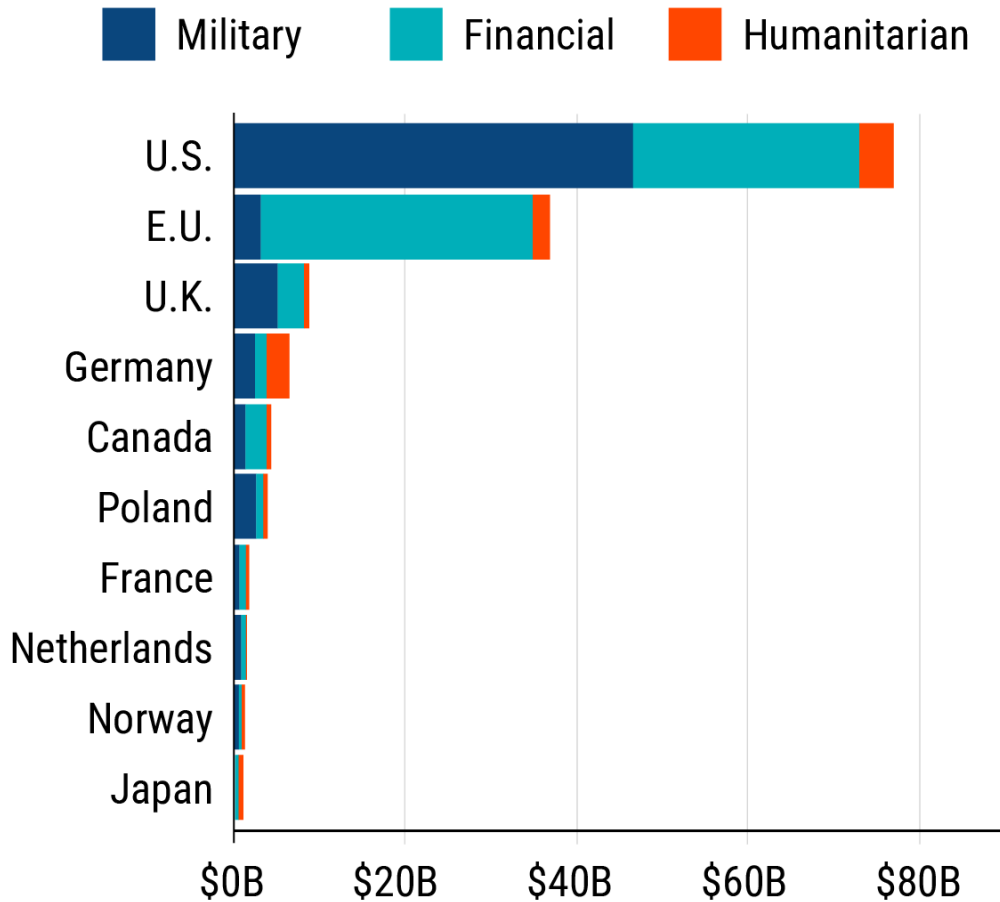
Although a few of Europe's major banks are performing very well, the entire banking sector in Poland is thriving.

Remember how we mentioned it's being called "the golden times?" Well, there are a few reasons for that.

The U.S. has contributed over \$62 billion in aid to Ukraine since the start of the war and is one of many nations sending support.

# U.S. Has Committed The Most Aid To Ukraine

Commitments By The 10 Biggest Donors, 24 Jan 2022 To 15 Jan 2023



Market Briefs Pro

Data via Kiel Institute

But it's difficult to ship supplies into an active conflict.

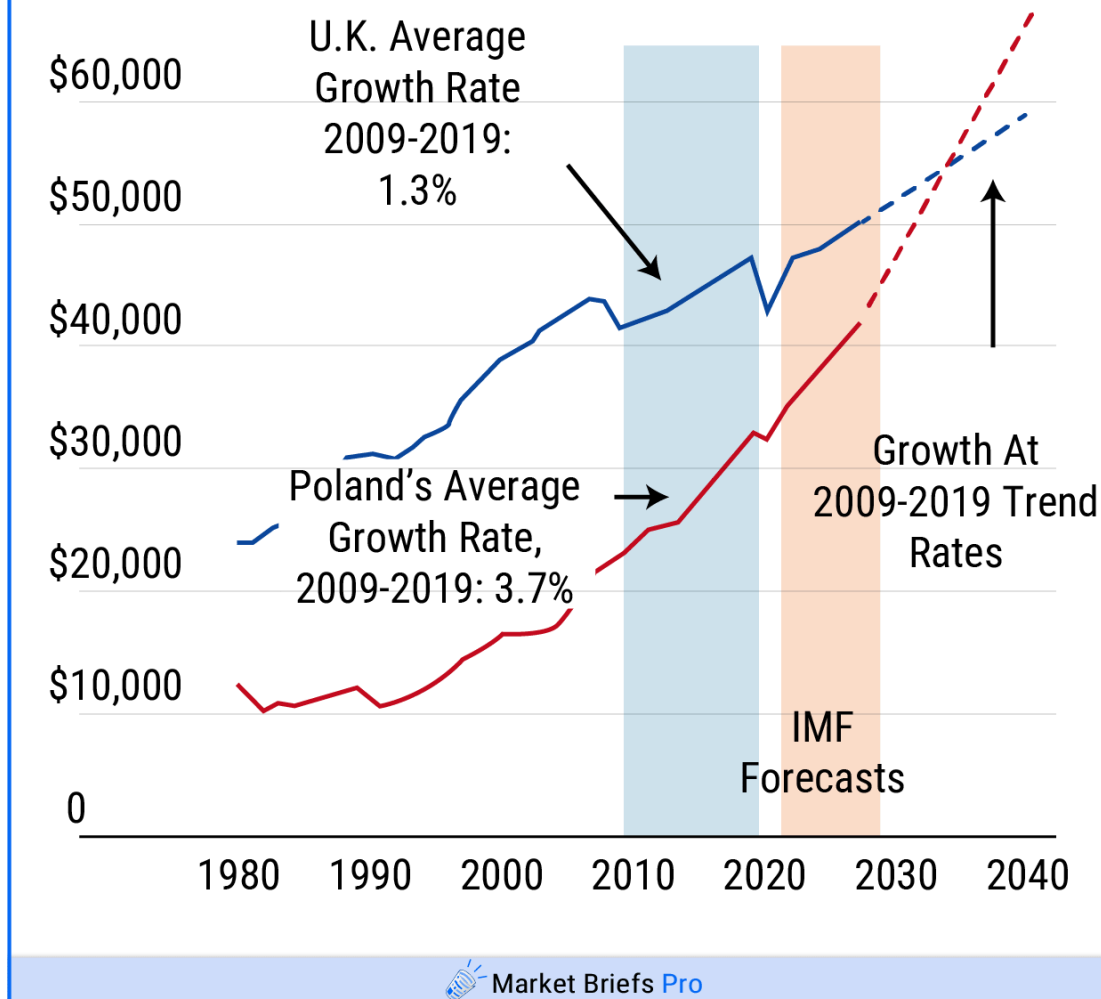
**The solution?** Most of those supplies are being shipped to Poland and then transported into Ukraine by the military.

This means that the U.S. and other countries are setting up shop inside of Poland and using it as a massive logistical hub.

Through things like transportation, labor, and shelter costs, this has caused a massive influx into the Polish economy.

# Will Poland Overtake The U.K.?

*GDP Per Capita, Adjusted For Purchasing Power*



Data via World Bank

And the nation's banks have seen the largest growth from this influx of cash, providing loans to many of the businesses dealing with these government contracts.

**Looking ahead:** The war won't last forever, and foreign aid to Ukraine can be affected by global politics, and Polish banks know this.

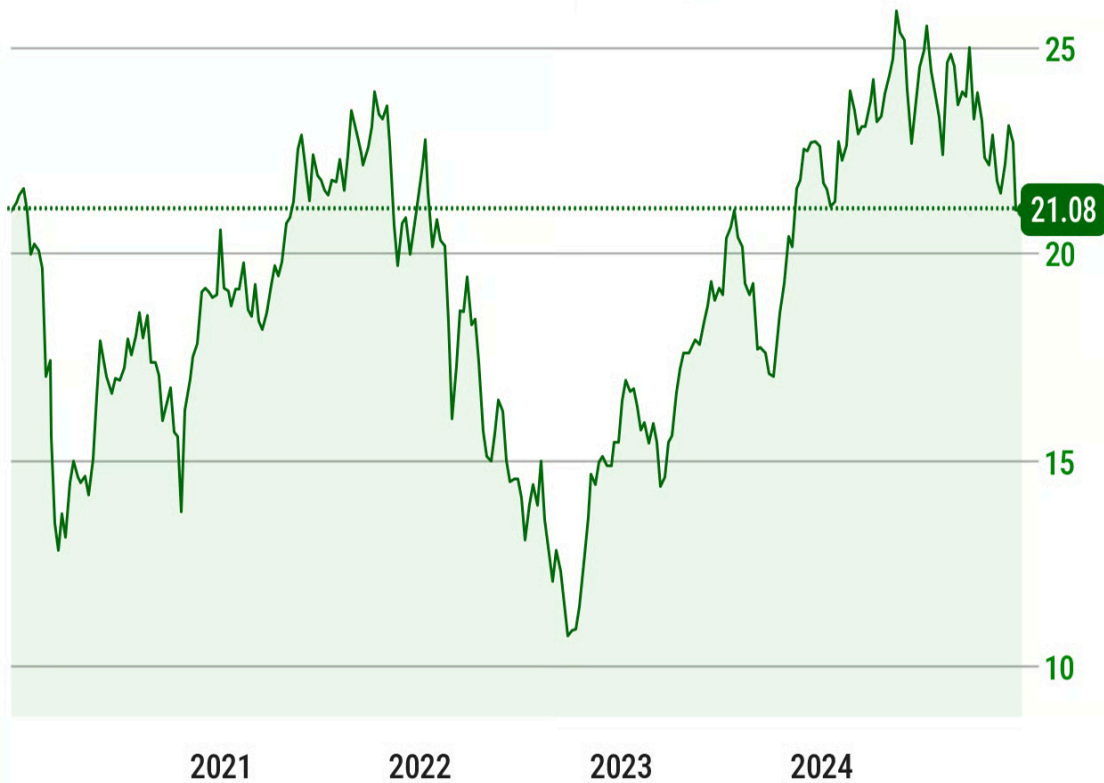
Many of the banks benefitting from this shift have stated they believe the boom is temporary, so they are reinvesting this new income into long-term growth.

While major Polish banks don't trade directly on U.S. markets, its largest banks can be found in the iShares MSCI Poland ETF (EPOL).

# iShares MSCI Poland ETF (EPOL)

5 Year Price →

**21.08**  
**(+1.29%)**



 **Market Briefs Pro**

Data [via](#) Yahoo! Finance

This ETF includes major holdings in PKO Bank Polski and Bank Pekao, the two largest banks in Poland.

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## DEEP BRIEF

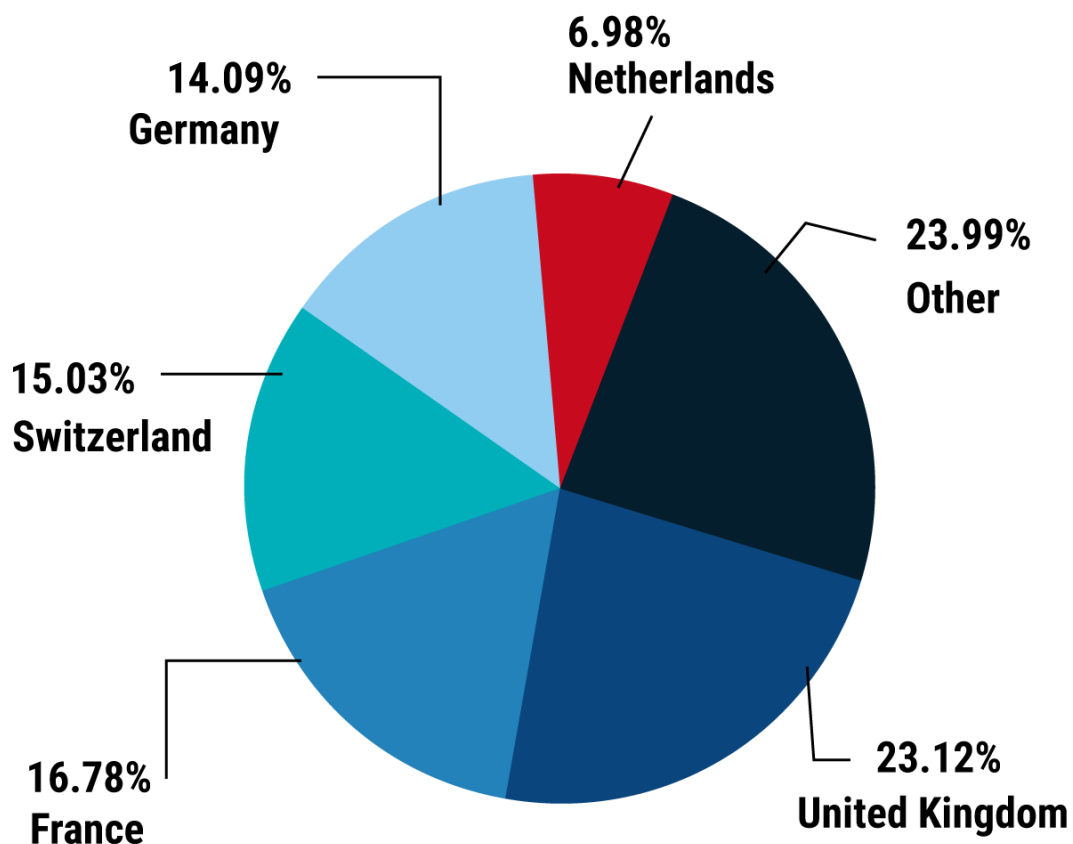
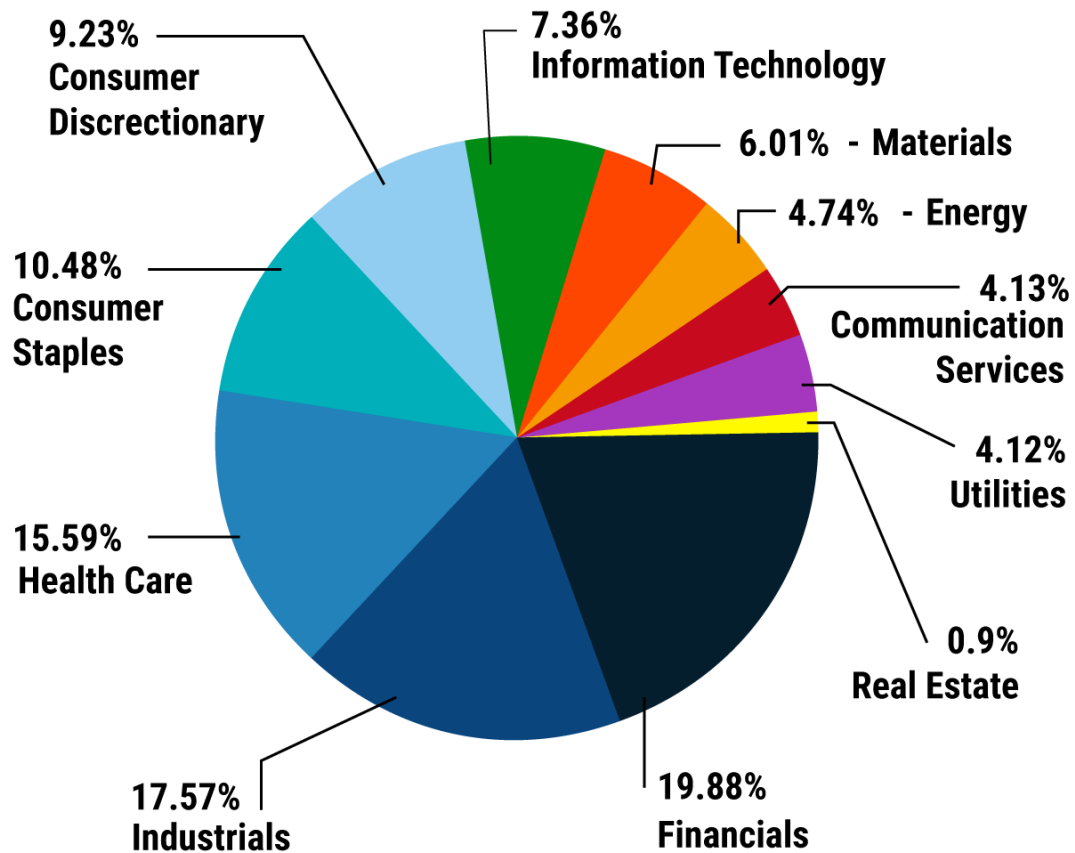
### Index ETFs

Much like here in the U.S., Europe has a number of major index funds that act as indicators for specific sectors, or the European market as a whole.

*Think of it like the E.U.'s version of the DOW or the S&P 500.*



# MSCI Demographics







- The MSCI Europe covers a broad range of E.U. markets and is often used to evaluate the region's economic health.

Like in the U.S., these index funds tend to see relatively stable long-term growth, but since the conflict began, they've seen reduced growth.

This reduced growth is where we see an opportunity.

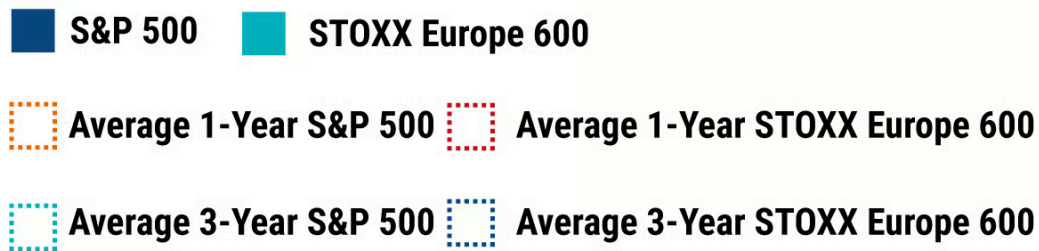
Currently, the price-to-earnings (P/E) ratio on major European indexes is much lower than its historical average, and its U.S. counterparts.

**What does that mean?** Lower P/E ratios tend to indicate that a security is undervalued and could see growth in the future.

- The S&P 500's current P/E ratio is 30.02.
- The STOXX 600's current P/E ratio is 12.0.

**Here and there:** The STOXX 600 covers 600 companies across 17 countries in the E.U. - it's a lot like their S&P 500. There are other variations such as the STOXX 50 as well.

# S&P 500 vs STOXX 600 EBITDA



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Data via Exante

Reduced ratios mean that investors can buy these assets at a price that's lower than their earnings potential.

This isn't the first time that we've seen these indexes undervalued during an economic downturn.

## So how did those funds perform?

- The STOXX 50 rebounded 25% in 12 months after the 2008 global financial crisis.
- The STOXX 600 rebounded 18% in 2013 and the DAX hit a record high in 2015 after the Euro Debt Crisis.
- The STOXX 50 surged 60% over 9 months and the FTSE 100 was up 10% after just 6 months in the wake of the 2020 global pandemic.

**The world tour:** The DAX is the major benchmark on Germany's market, while the FTSE 100 fills the same role for the U.K.

**The bottom line:** These major index funds have a history of strong rebounds, and are currently undervalued by the standards investors use (like P/E).



Data via Yahoo! Finance

So how do you invest in them?

**The answer:** ETFs

There are ETFs offered on American exchanges that track these European funds, providing a way for you to invest in them without having to go through an international broker.

We've seen some of the strongest rebounds out of the STOXX 50, which tracks the top 50 companies on the combined European markets by market

cap.

It's represented here by the SPDR Euro STOXX 50 ETF (FEZ). Managed by State Street Advisors, it has the same 50 holdings as the index itself.

## SPDR Euro STOXX 50 ETF Holdings vs Euro STOXX 50 Holdings

**Fund Top Holdings** (As Of Dec 19, 2024)

| Name                    | Shares Held | Weight |
|-------------------------|-------------|--------|
| ASML Holding NV         | 352,389     | 8.03%  |
| SAP SE                  | 900,013     | 7.04%  |
| LVMH Moet Hennessy LV   | 225,386     | 4.66%  |
| Siemens AG Reg          | 663,178     | 4.14%  |
| Schneider Electric SE   | 507,629     | 4.03%  |
| TotalEnergies SE        | 2,114,522   | 3.62%  |
| Allianz SE Reg          | 345,425     | 3.38%  |
| Sanofi                  | 1,014,526   | 3.06%  |
| Deutsche Telekom AG Reg | 3,158,387   | 3.05%  |
| Airbus SE               | 518,961     | 2.68%  |

**Index Top Holdings** (As Of Dec 19, 2024)

| Name                    | Weight |
|-------------------------|--------|
| ASML Holding NV         | 8.05%  |
| SAP SE                  | 7.06%  |
| LVMH Moet Hennessy LV   | 4.68%  |
| Siemens AG Reg          | 4.16%  |
| Schneider Electric SE   | 4.04%  |
| TotalEnergies SE        | 3.63%  |
| Allianz SE Reg          | 3.39%  |
| Sanofi                  | 3.07%  |
| Deutsche Telekom AG Reg | 3.06%  |
| Airbus SE               | 2.69%  |



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Data [via](#) State Street Advisors

It's been relatively flat this year and is up 19% over the last five years, but looking at the funds all-time, it grows in these previous recovery periods.



Data via Yahoo! Finance

If you're looking to track the Eurozone specifically, the iShares MSCI Eurozone ETF (EZU) is the U.S. equivalent of the MSCI EMU index.

- The Eurozone is composed of countries that use the euro as currency.

Earlier we mentioned that MSCI Europe was commonly used to monitor the economic health of the Eurozone - that's because its holdings cover 85% of the Eurozone's market cap.

# iShares MSCI Eurozone ETF

## Major Holdings

| Name                  | Market Value     | Weight (%) |
|-----------------------|------------------|------------|
| ASML Holding NV       | \$353,596,545.51 | 5.38       |
| SAP                   | \$317,073,862.43 | 4.83       |
| LVMH                  | \$221,105,113.62 | 3.37       |
| Siemens N AG          | \$184,427,776.93 | 2.81       |
| Schneider Electric    | \$168,575,696.52 | 2.57       |
| Allianz               | \$148,981,569.55 | 2.27       |
| TotalEnergies         | \$143,542,838.65 | 2.19       |
| Sanofi SA             | \$133,855,285.22 | 2.04       |
| Deutsche Telekom N AG | \$130,538,030.78 | 1.99       |
| Airbus Group          | \$119,044,092.48 | 1.81       |

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Data [via](#) BlackRock

Once again representing the same holdings as the European index, EZU is a much broader approach by country, but narrow in scope, and is more closely tied to the euro.

# iShares MSCI Eurozone ETF (EZU)

5 Year Price →

**47.24**  
**(+13.74%)**



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Data [via](#) Yahoo! Finance

Like the index, this ETF has been flat this year and is only up 13% over the last five years, but is well positioned to benefit if the Eurozone stabilizes.

Investors interested in an even broader approach who want to cover holdings found in **all** of Europe, including the U.K., can look to the Franklin FTSE Europe ETF (FLEE).

While not exclusive to the E.U., the London-based FTSE has a long history of representing the European economy.

# Franklin FTSE Europe ETF Major Holdings

| Security Name                       | Market Value          | Weight(%)   |
|-------------------------------------|-----------------------|-------------|
| <b>Novo Nordisk A/S B</b>           | <b>\$2,320,299.71</b> | <b>2.98</b> |
| <b>ASML Holding NV</b>              | <b>\$2,047,698.56</b> | <b>2.63</b> |
| <b>SAP SE</b>                       | <b>\$1,959,908.31</b> | <b>2.51</b> |
| <b>Nestle SA Reg</b>                | <b>\$1,544,576.49</b> | <b>1.98</b> |
| <b>Novartis AG Reg</b>              | <b>\$1,438,629.62</b> | <b>1.85</b> |
| <b>AstraZeneca PLC</b>              | <b>\$1,400,019.67</b> | <b>1.80</b> |
| <b>Roche Holding AG Genusschein</b> | <b>\$1,380,981.46</b> | <b>1.77</b> |
| <b>Shell PLC</b>                    | <b>\$1,377,974.35</b> | <b>1.77</b> |
| <b>HSBC Holdings PLC</b>            | <b>\$1,289,445.20</b> | <b>1.65</b> |
| <b>LVMH Moet Hennessy LV</b>        | <b>\$1,167,097.74</b> | <b>1.50</b> |

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Data [via](#) Franklin Templeton

FLEE represents over 500 holdings but only has about \$81 million in assets under management, meaning that the fund's investments are spread very thin.



# Franklin FTSE Europe ETF (FLEE)

5 Year Price →

**27.73**  
**(+11.14%)**



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Data [via](#) Yahoo! Finance

And its shares have seen a similar journey as the other ETFs - flat YTD, and up 12% in the last five years.

While less focused than the other ETFs we've discussed, this fund could benefit if the U.K. markets see a boost from European stabilization.

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## REVIEW

### Profits In Peace?

This shift is geopolitical by its very nature, and despite being across the ocean, it will undoubtedly be affected by the U.S. presidential election, and Donald Trump's upcoming term.

Trump claims that he plans on ending the Russia-Ukraine conflict “On day one,” and you may be asking “Would this dramatically affect this shift?”

**Not really** - The opportunity lies in the adjustment and recovery of major European markets, if the war were to end, we would start to see that recovery.

And in the long term? These are very strong banks and funds, which have a long history of strong growth even when they aren’t undervalued.

Even the Polish banks which are benefitting from Ukrainian aide have acknowledged that the “golden times” won’t last forever, and are taking steps to ensure they reinvest their current growth.

The language of economics is universal, and stabilization in Europe would also mean stabilization in European-centric investments.



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